## *Industrial Economy Grew in the First Twenty-Five Years of Industrialization*

As per the back series of the National Accounts published by the Ministry of Statistics and Programme Implementation (MOSPI), India's GDP at factor cost at 1960–61 prices was Rs 14,071 crore in 1960–61. Industrialization, which is best represented by the GDP in the secondary sector (manufacturing, construction and utilities), had a GDP share of Rs 2721 crore. The larger industrial economy of India had grown up to a little higher than 19 per cent by 1960–61.

Manufacturing constituted the bulk of GDP at factor cost in the secondary sector with a GDP of Rs 1994 crore out of Rs 2721 crore; construction at Rs 641 crore, and utilities (electricity, gas and water supply) at Rs 86 crore making up the rest. Manufacturing GDP formed 14.2 per cent of the overall GDP. India's manufacturing GDP more than doubled in the first fifteen years.

Both the secondary sector and manufacturing, per se, kept growing for the next fifteen years as well. In 1974–75, the secondary sector's GDP contribution of Rs 5217 crore, at 1960–61 prices, made up 24.7 per cent of the Rs 21,670 crore GDP of India. The share of manufacturing (Rs 3810 crore) had also risen somewhat higher to 17.6 per cent in 1974–75.

Gross domestic capital formation (GDCF) was small at 16.9 per cent in 1960–61. The rate of capital formation remained in the range of 16.5 per cent to 17.7 per cent in most years until 1974–75. In 1966–67 and 1974–75, it crossed 19 per cent and in 1961–62 and 1968–69, it fell below 15.5 per cent.

Gross value of output at current prices recorded in 1974–75 for registered manufacturing was dominated by food and textiles. Food manufacturing gross value of output was Rs 3.4 lakh crore in 1974–75, which was about 18 per cent of the total gross value of manufacturing (registered) output of Rs 19.03 lakh crore. Textiles was another big sector